Chapter Name

Rural Development in India

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Rural development is a process of social and economic development of the people living in village area.

Key Issues

1. Infrastructure
2. Poverty
3. Diversification
4. Organic farming
5. Development of human resource like health, addressing both sanitation and public health.
6. Development of human resource including literacy, education and skill development.

Credit in Rural area

Rural credit means loan or financial assistance that is taken by the people residing in the rural areas for the purpose of agriculture or setting up small businesses.

Sources of rural credit in India

1. Non- Institutional Sources

Non- Institutional sources are money lenders, traders and commission agents, landlord, relatives and friends.

2. Institutional Sources

1. Co-operative credit societies
2. Commercial Banks
3. Land development Banks
4. Regional Rural Banks
5. NABARD (National Bank for Agriculture and rural development)
6. Self help Groups (SHGs)
7. The Government.

Critical Appraisal of Rural Banking

1. Insufficient volume of credit
2. Inadequate coverage of institutional sources.
3. Inadequate amount of sanction
4. Less attention to poor or marginal farmers.
5. Growing over-dues.

Types of Rural Credit

- According to time
- According to purpose

According to Time :-

- Short term credit
- Medium term credit
- Long term credit

Short term Credit

These are required to meet short-term needs or to purchase inputs like seeds, tools, fertilizers, payment of wages, payment of electricity bill etc. These loans are for 6-12 months and are generally payable after harvesting and marketing.

Medium term Credit

These are required to meet medium term needs or for purchasing machinery, constructing fences, digging wells, purchasing animals and pump sets, constructing cattle sheds etc. These loans are generally for about one year to five years.

Long term Credit

These are required to meet the long-term needs or for making permanent improvements for purchasing additional land, for purchasing tractors and heavy machinery etc. The duration of these loans is generally about 5 years to 20 years.

According to Purpose :—

- Productive Credit
- Unproductive Credit

Productive Credit

These are required to meet production needs / purposes or for purchasing seeds, tools, fertilizers, payment of wages, payment of electricity bill, machinery, constructing a fence, digging well, purchasing animals and sets, constructing cattle sheds, making permanent improvement, for purchasing additional land for, purchasing tractors and heavy machinery, etc.

Unproductive Credit

These are required to meet unproductive needs / purpose or consumption expenditure like marriage and other social and religious functions.

Agricultural Marketing

Agricultural Marketing covers the service involves in moving an agricultural product from the farm to the consumer.

Defects of Agriculture marketing

1. Inadequate warehouses
2. Multiplicity of middlemen
3. Malpractice in unregulated markets
4. Lack of adequate finance
5. Inadequate means of transport and communication

Measures adopted by the government to improve marketing system.

1. Regulated market
2. Infrastructure Development
3. Co-operative Agricultural marketing
4. Policy instruments.

1. Regulated Markets

The government came up with the concept of regulated market where the sale and purchase of goods are monitored by the market committee. This market committee consists of farmers, government agents and traders. This infuses greater transparency in the marketing system through the use of proper scales and weights. Such committees ensure the farmers and the consumers in receiving fair price in exchange of their products.

2. Infrastructure Development.

The present infrastructure is not sufficient to meet the growing demands of the farmers. The government of India has provided cold storages and warehouses that help the farmers to sell their product at the time when the price is attractive. Also, railways offer subsidised transport facilities to the farmers. This enables the farmers to bring their product to urban areas where they can earn huge profits.

3. Co-operative Agricultural Marketing Societies:

The government also started co-operative marketing under which the farmer gets access to fair prices. This is due to the better and enhanced bargaining power of the farmers via collective sale in the market.

4. Policy Instruments:

(i) MSP :- Minimum support Price. It is a minimum legislated price that a farmer may charge in exchange of his products. This enables them to sell their products in the open market at a higher price. The MSP insulates the farmers in case of price falls as this is the minimum price that they can receive. Uncertainties faced by the farmers, the need of such assurance to them is of immense importance.

(ii) Public Distribution System (PDS)

Diversification in Agriculture

It refers to the either a change in cropping pattern or the farmers opting for other non-farming options like poultry farming, animal husbandry etc.

Aspects of agricultural activities

- Diversifaction of crops production
- Diversification of productive activities

Diversification of crop production

It refers to a system of multiple cropping rather than mono cropping. It may also mean a shift from subsistence farming to commercial farming.

Advantages :-

1. It lowers the risk of farmer on account of failure of monsoon.
2. It enhances the scope for commercialisation of farming.
3. Minimise the market arising due to price fluctuation.

→ Diversification of Production activities.

It imply a shift from crops farming to non-farming areas of employment.
Non-farm areas of employment includes.

1. Animal Husbandry.
2. Fisheries
3. Horticulture
4. Cottage and household Industry
5. Information technology - every village has a Knowledge centre.

→ Organic Farming

It refers to the form of agriculture using organic manure instead of chemical fertilisers and pesticides.

Benefits of Organic Farming :-

1. Economic Farming

It uses locally made cheaper inputs. It is not costlier because it avoids the uses of expensive chemicals and HYV seeds.

2. Healthier and Tastier food

It provides the food with high nutritional value than the food growing through conventional farming.

3. Eco-Friendly farming

Organic farming is pesticide free and is a clear cut advantage in a pollution ridden India.

4. Generate Income through exports

It is good source of earning there is a large export demand for organic food would wide.

5. Generate Employment

It requires more labour than conventional farming. So it is a good source of employment in rural areas.

Organic Farming Suffers from the following limitations :-

1. Organic farming offers lesser yield than the conventional farming. Therefore, the productivity of the organic farming is lower than that of the conventional farming.

2. Organic products are sooner Perishable.

→ Golden Revolution :-

The period between 1991-2003 is called 'Golden Revolution'. India has emerged as a would's leading country in producing a variety of fruits like mangoes, banands, coconuts, cashew, nuts and a number of species and is the second largest producer of fruits and vegetables.

→ Operation Flood :-

Operation Flood was launched to help farmers direct their own development. It placed the contuol of the resources they create in their own hands. The Operation Flood, also known as White Revolution in India was launched in 1970s to make India self dependent in milk production. Dr. Verghese Kureen is known as the 'Father of The White Revolution in India. White Revolution is associated with a sharp increase in the milk production. Operation Flood has helped dairy farmers direct their own development, placing contuol of the resources they create in their own hands.

→ Micro Credit Programmes

1. NABARD

National Bank for agriculture and rural development (NABARD): NABARD is an apex institution entrusted with all matters concerning policy, planning and operation in the field of rural credit and related economic activities.

Its main function are as these :-

(i) To serve as an apex funding agency for the institution providing credit in rural areas.

(ii) To take appropriate measures to improve the credit delivery system. The bank was to focus on restructing of credit institutions and training of personnel.

2. Distress Sale

It refers to a situation when farmers are compelled to sell their produced immediately after the harvest at very poor price.

3. RRBs

Regional Rural Banks (RRBs) are important source of institutional credit in rural areas. They were established in 1975. They are opened up in those areas where there are no banking facilities. Their main objective is to provide credit and their facilities, especially to small and marginal farmers, agriculture labourers, artisans and small entrepreneurs in rural areas.

4. TANWA

Tamil Nadu women in Aquiculture (TANWA) is a project launched in Tamil Nadu with a view to training woman in diverse techniques of farming. This project was started in late 1980s.